

INSURANCE AND PENSIONS COMMISSION



REPORT FOR LIFE ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2015

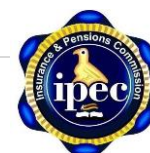
List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
NOTE:	ALL MONETARY FIGURES ARE IN USD



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2.0 Industry Overview

The report covers 11 life assurance companies and 2 reinsurance companies. The industry reportedly wrote \$159 million in net premiums (June 2014:\$130million), resulting in a 22% annual growth rate. Total costs negligibly grew to \$110million from \$109million, reflecting tight cost management by players. Consequently the industry's combined ratio fell from the previous 84% to the current 69% and a technical profit of \$49million (June2014: 21million).

As at the current review period, total industry assets grew by 1% from \$1.59billion reported previously to \$1.61billionwhich is reflective of a challenging investment climate in the economy. Total liabilities remained stagnant at \$1.3billionrealizing \$275 million as free assets (June 2014:\$250million). Two players did not meet the minimum capital requirements and enhanced remedial action is on-going.

Table 1, below summarizes the aggregated financial indicators of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the half year ended 30 June 2015

Item	Life Assurers			Life Reassurers			TOTALS		
	June 2014	June 2015	Growth	June 2014	June 2015	Growth	June 2014	June 2015	Growth
Gross Premiums Written (\$000)	128,388	157,493	23%	4,759	5,144	8%	133,147	162,637	22%
Net Premiums Written (\$000)	126,307	154,602	22%	3,950	4,383	11%	130,257	158,985	22%
Total Gross Claims (\$000)	65,869	68,041	6%	1,951	1,714	(12%)	66,438	69,755	5%
Total Net Claims (\$000)	64,487	68,041	6%	1,951	1,714	(12%)	66,438	69,755	5%
Management Expenses (\$000)	36,345	30,664	(16%)	996	714	(28%)	37,341	31,378	(16%)
Commissions (\$000)	4,623	7,398	60%	1,037	1,299	25%	5,660	8,697	54%
Total Costs(\$000)	105,455	106,103	1%	3,984	3,727	(6%)	109,439	109,830	0%
Technical Profit	20,852	48,499	133%	-34	656	(2029%)	20,818	49,155	136%
Expense Ratio (%)	32%	25%	(7%)	51%	30%	(21%)	33%	25%	(13%)
Claims Ratio	51%	44%	(7%)	49%	39%	(10%)	51%	44%	(7%)
Combined Ratio	83%	69%	(14%)	101%	85%	(16%)	84%	69%	(20%)
Total Assets (\$000)	1,576,767	1,592,460	1%	12,926	14,714	14%	1,589,693	1,607,174	1%
Current Assets	287,191	356,522	24%	4,304	5,952	38%	291,495	362,474	24%
Current Liabilities	162,428	126,724	(22%)	1,073	2,376	121%	163,501	129,100	(21%)
Total Liabilities (\$000)	1,332,401	1,324,415	(1%)	6,031	7,532	25%	1,338,432	1,331,947	0%
Free Capital(\$000)	244,366	268,047	10%	6,895	7,182	4%	249,723	275,229	10%
Liquidity/Current Ratio	177%	281%	104%	401%	151%	(250%)	178%	281%	103%
Capital to liability Ratio	18%	20%	2%	114%	95%	19%	19%	21%	2%
Prescribed Asset Ratio (%)	1%	3%	2%	0	2%	-	1%	3%	2%

Section A

Life Assurance Companies



3.0 Update on Number of Operational Institutions

This report is centered on 11 life assurers.

4.0 Net Premiums Written

For the period under review, the life assurance industry reportedly wrote \$155million in net premiums from \$126million reported in the corresponding period last year. This reflected a 22% growth (See Table 2,below).

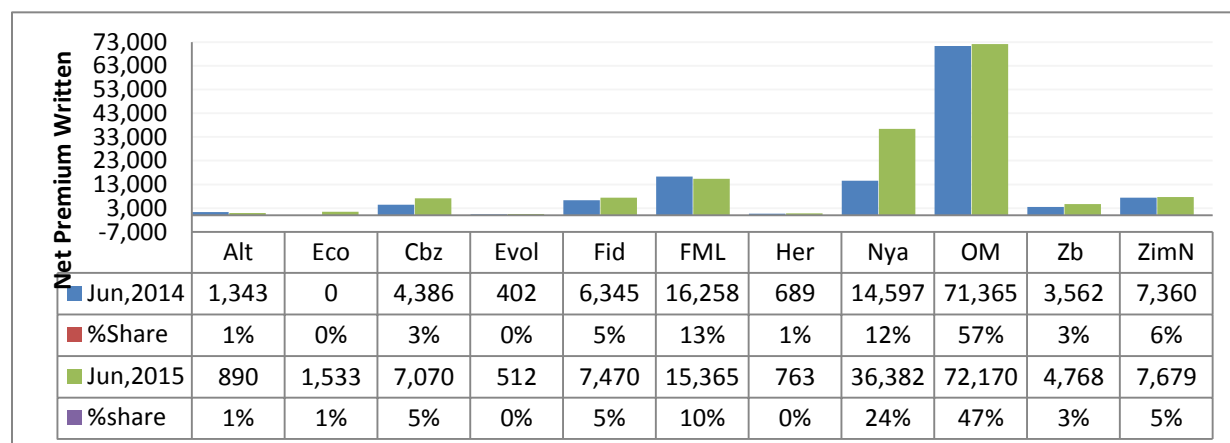
Table 2: Net Written Premium Distribution by Company for the half year ended 30 June 2015

Name of Company	NPW (USD 000)		Growth
	Jun-14	Jun-15	Annual
Altfin	1,343	890	-34%
Econet	-	1,533	-
Cbz	4,386	7,070	61%
Evolution	402	512	27%
Fidelity	6,345	7,470	18%
FML	16,258	15,365	-5%
Heritage	689	763	11%
Nyaradzo	14,597	36,382	149%
Old Mutual	71,365	72,170	1%
Zb Life	3,562	4,768	34%
Zimnat	7,360	7,679	4%
TOTAL	126,307	154,602	22%

5.0 Market Share for Life Assurance Companies

For the period under review, the three biggest players controlled \$124 million or 81% of net premium written (June 2014:\$102 million or 82%). Besides funeral business-oriented companies, particularly Nyaradzo, players largely retained their prior year market shares mainly because of predominance of organic growth (See Figure 1, below).

Figure1: Market share by company for the half year ended 30 June 2015



6.0 Business Composition by Income Stream

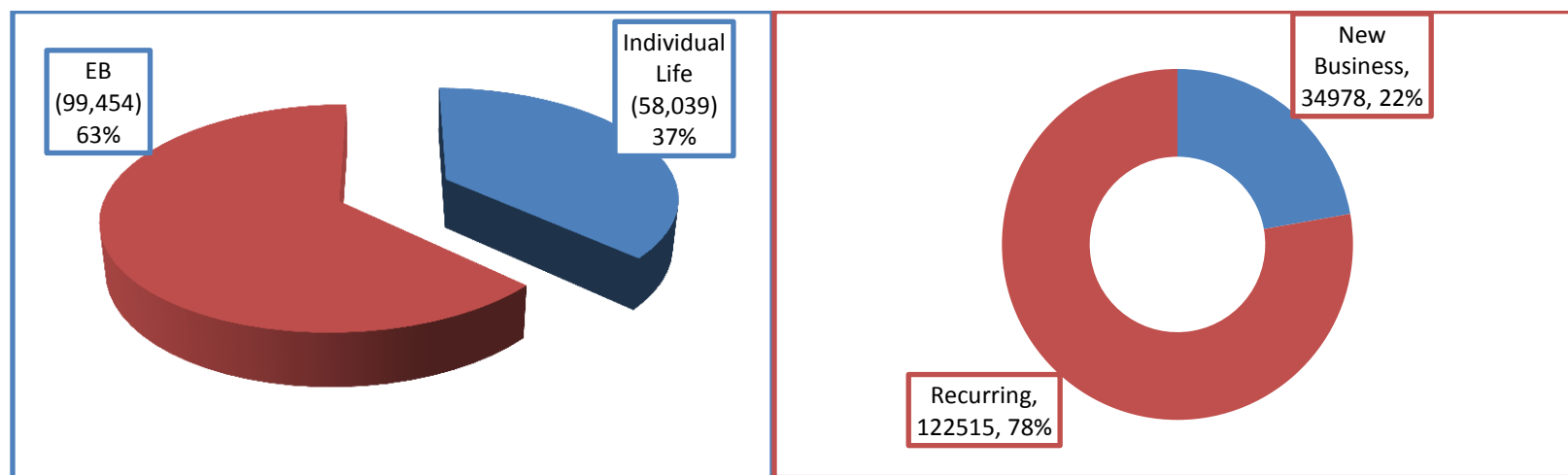
For the current reporting period, players wrote \$157million in gross written premium (June 2014:\$128million).63% or \$99million was employee benefits business (June 201:74% or \$95million) whilst 37% or \$58million was individual lines business (June 2014:26% or \$33million).

New business written reportedly contributed22% or \$35million (June 2014:8% or \$10million) whilst the balance of 78% or \$123million was attributable to recurring business (June 2014:92% or \$118million)(See Table 3 and Figure 2).

Table3: Business Composition by Company for the half year ended 30June 2015

Individual Business							E.B						TOTAL PREMIUMS		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Jun-14	Jun-15	%
	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%			
Altfin	49	-	-	180	390	117%	0	-	-	1,291	500	-61%	1,520	890	-41%
CBZ Life	138	-	-	3,281	4,460	36%	388	-	-	705	3,054	333%	4,512	7,514	67%
Econet	0	940	-		737	-		0	-		0	-	-	1,677	-
Evolution	29	82	183%	374	430	15%	0	-	-	0	-	-	403	512	27%
Fidelity	1,860	408	-78%	880	3,157	259%	-	-	-	3,815	4,133	8%	6,555	7,698	17%
FML	757	701	-7%	6,586	7,513	14%	2,102	2,956	41%	6,962	4,424	-36%	16,407	15,594	-5%
Heritage	6	0	-100%	495	695	40%	0	88	-	219	0	-	720	783	9%
Nyaradzo	365	683	87%	10,140	24,728	144%	60	66	10%	4,032	10,905	170	14,597	36,382	149
O. Mutual	410	3,175	674%	4,843	5,966	23%	2,864	24,054	740%	63,784	40,259	-37%	71,901	73,454	2%
Zb Life	408	661	62%	1,095	1,396	27%	154	153	-1%	2,237	2,755	23%	3,894	4,965	28%
Zimnat	204	566	177%	1,224	1,351	10%	176	445	153%	6,275	5,662	-10%	7,879	8,024	2%
TOTAL	4,226	7,216	71%	29,098	50,823	75%	5,744	27,762	383%	89,320	71,692	-20%	128,388	157,493	23%

Figure 2: Business Composition for the half year ended 30 June 2015 (\$'000)



5.2 Business Composition by Product Class

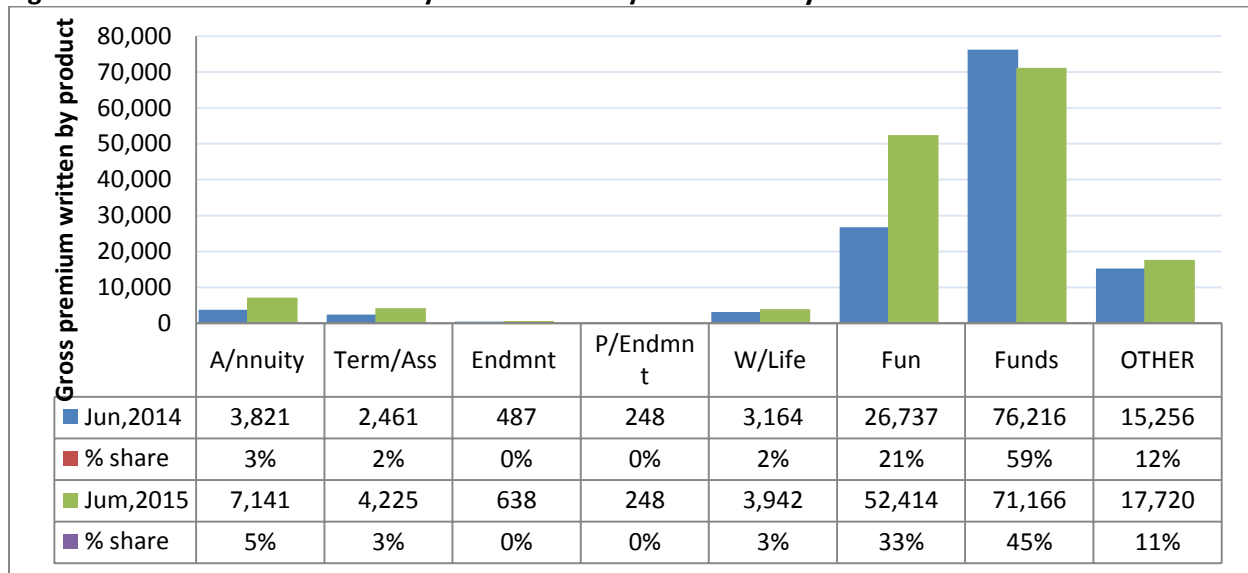
Fund business, funeral, group life assurance and other policies constituted 89% of gross written business (June 2014:80%). This suggests the weak financial capacity and awareness of other product lines. We continue to believe that there is still scope for players to promote uptake of other policy types via micro-insurance assisted by the emergency of Mobile Network Operators as both agents and a viable mode of payment("Mobile assurance") (See Table 4 and Figure 3below).

Table4: Written Business Classes by Company for the half year ended 30 June 2015

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%	41,791	42,156	%
Altfin	32	259	7	7	112	15	0	-	-	0	-	-	0	-	-	10	-	-	1,471	519	(1)	0	-	0	1,520	890	(0)
CBZ Life	0	-	-	1,972	3,054	1	0	-	-	0	-	-	0	-	-	2,540	4,460	1	0	-	0	0	-	0	4,512	7,514	1
Econet	0	-	-	0	-	-	0	-	0	0	-	-	33	-	-	289	1,677	1	0	-	0	81	-	0	403	1,677	0
Evolution	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0	-	0	-	512	0	
Fidelity	49	52	0	0	28	-	308	230	(78)	100	101	0	315	165	(0)	1,506	1,259	(0)	3,814	1,419	(1)	463	4,444	9	6,555	7,698	0
FML	2,201	2,224	0	385	976	2	93	118	25	0	0	-	276	424	1	4,541	4,238	(0)	6,192	6,518	0	2,719	1,097	(1)	16,407	15,594	(0)
Heritage	5	13	2	0	-	-	3	-	(3)	48	-	-	0	1	-	446	769	1	0	-	0	219	-	0	720	783	0
Nyarardzo	0	-	-	0	-	-	0	-	0	0	-	-	0	-	-	14,597	36,382	1	0	-	0	0	-	0	14,597	36,382	1
O. Mutual	1,379	4,293	2	0	-	-	0	0	0	0	-	-	2,267	2,958	0	1,608	2,104	0	57,397	53,958	(0)	9,251	10,141	0	71,901	73,454	0
Zb Life	4	8	1	97	28	(1)	83	290	207	51	147	2	30	4	(1)	143	185	0	3,486	4,303	0	0	-	0	3,894	4,965	0
Zimnat	151	292	1	-	27	-	0	-	-	49	-	-	243	390	1	1,057	1,340	0	3,856	3,937	0	2,523	2,038	(0)	7,879	8,024	0
Total	3,821	7,141	1	2,461	4,225	1	487	638	151	248	248	0	3,164	3,942	0	26,737	52,414	1	76,216	71,166	(0)	15,256	17,720	0	128,390	157,494	0



Figure3: Gross Written Premium by Product Class by for the half year ended 30 June 2015



5.2.1 Not-taken Up and Lapsed Policies

As liquidity constraints persist in the economy, the industry, particularly individual business, reported high lapse ratios and not taken up policies amounting to \$1million (See Table 5,below)

Table 5: Lapsed Policies for the half year ended 30 June 2015

Co. Name	Not taken up policies		Lapse Ratios (%)	
	Individual	Group Business	Individual	Group Business
	Jun-15	Jun-15	Jun-15	Jun-15
Altfin	-	-	-	-
CBZ Life	0	0	0	0
Evolution	0	0	26	0
Econet	0	0	30%	0
Fidelity	0	0	0	0
FML	25	0	47	0
Heritage	14	30	0	0
Nyaradzo	0	0	14	9
O Mutual	1,077	0	8	0
Zb Life	113	0	21%	0
Zimnat	4	0	5%	0
TOTAL	1,233	30	-	-

6.0 Claims Analysis

For the half year ended 30 June 2015, life companies paid \$68 million in net claims (June 2014:\$66million), a 6% growth compared to a 20% growth in Net Premiums Written.

Players generally reported timely settlement of claims. This is commendable given that ageing claims is a risk indicator for insurers (See Table 7 and Figure 4,below).However players must vigorously continue to manage insurance fraud risk given recent press reports in respect of some market players

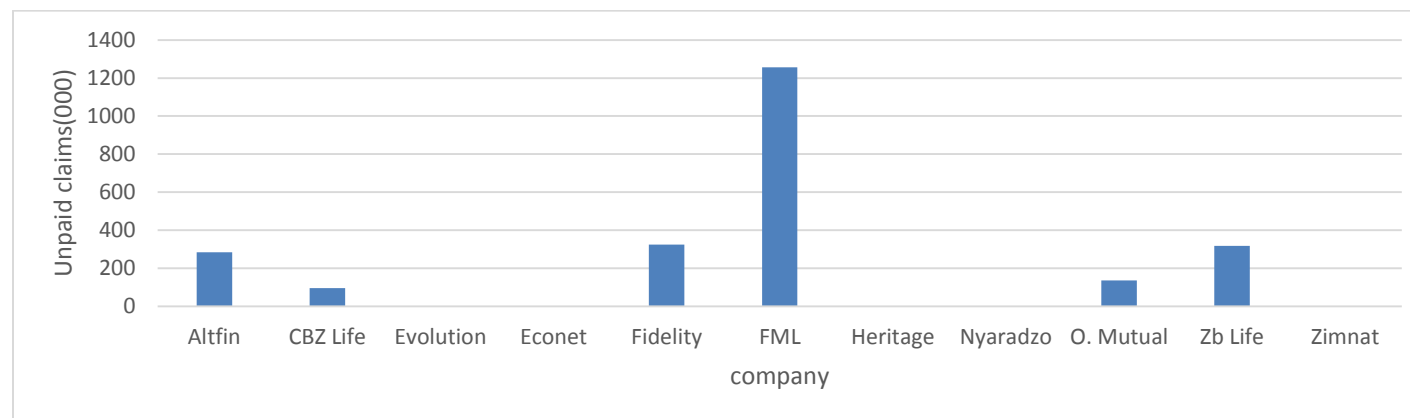
Table 6: Claims Categories by Company for the half year ended 30 June 2015 (\$'000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)	Jun-14	Jun-14	(%)
Altfin	1	16	1500%	7	245	3400%	0	-	-	6	201	3250%	0	-	0%	0	-	-	341	462	35%
CBZ Life	993	871	-12%	14	103	636%	0	-	-	51	323	533%	0	-	0%	0	-	-	1,503	1,297	-14%
Econet	-	161	-	-	-	0%	-	-	-	-	-	0%	-	-	0%	-	-	-	-	161	-
Evolution	29	-	-	0	48	0%	22	-	-	0	-	0%	0	-	0%	0	-	-	51	48	-6%
Fidelity	350	706	102%	192	0	-100%	0	0	-	247	21	-91%	107	121	13%	33	14	-58%	863	834	-3%
FML	687	2,041	197%	2,894	1,321	-54%	964	-	-	1,044	1,518	45%	645	885	37%	0	0	-	6,234	5,766	-8%
Heritage	85	123	45%	0	4	0%	0	0	-	30	17	-43%	0	-	0%	0	0	-	115	144	25%
Nyaradzo	5,930	9,387	58%	0	-	0%	0	-	-	0	-	0%	0	-	0%	0	-	-	3,860	9,387	143%
O.Mutual	5,150	5,395	5%	15,520	13,634	-12%	96	55	43%	20,692	19,567	-5%	6,068	6,717	11%	160	359	124%	47,375	45,010	-5%
Zb Life	715	811	13%	196	75	-62%	0	0	-	686	1,272	85%	0	0	0%	42	25	-40%	1,607	2,133	33%
Zimnat	1,282	1,163	-9%	1,260	1,588	26%	0	0	-	37	94	154%	0	0	0%	0	47	-	2,538	2,798	10%
Total	15,222	20,674	36%	20,083	17,018	-15%	1,082	55	-95%	22,793	23,013	1%	6,820	7,723	13%	235	445	89%	64,487	68,041	6%

Table7: Claims Aged Analysis by Company for the half year ended 30 June 2015(\$'000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	27	-	170	0	87	284
CBZ Life	50	42	3	0	0	95
Evolution	0	-	-	-	-	0
Econet	-	-	-	-	-	-
Fidelity	252	68	4	0	0	324
FML	322	56	7	20	851	1,256
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	135	0	-	0	0	135
Zb Life	28	3	1	34	251	317
Zimnat	0	-	0	0	0	0
Total	814	169	185	54	1,189	2,411

Figure 4: Claims Aged Analysis by Company



8.0 Debtors Aged Analysis

The life industry reported premium debtors amounting to \$8million against a gross premium written of \$157million. Consequently, the average premium collection rate continued to be 95% (See Table 8, below).

Table 8 : Debtors Aged Analysis by Company for the half year ended 30 June 2015 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	10	20	22	54	1,807	1,913
CBZ Life	301	104	-	-	-	405
Econet	-	-	-	-	-	0
Evolution	41	38	40	31	295	445
Fidelity	403	166	298	0	2,006	2,873
FML	842	102	411	0	160	1,515
Heritage	95	89	86	72	0	342
Nyaradzo	0	-	2	-	-	2
O. Mutual	7	-	-	-	37	44
Zb Life	0	-	-	-	-	0
Zimnat	0	0	0	0	0	0
Total	1,699	519	859	157	4,305	7,539

9.0 Earnings

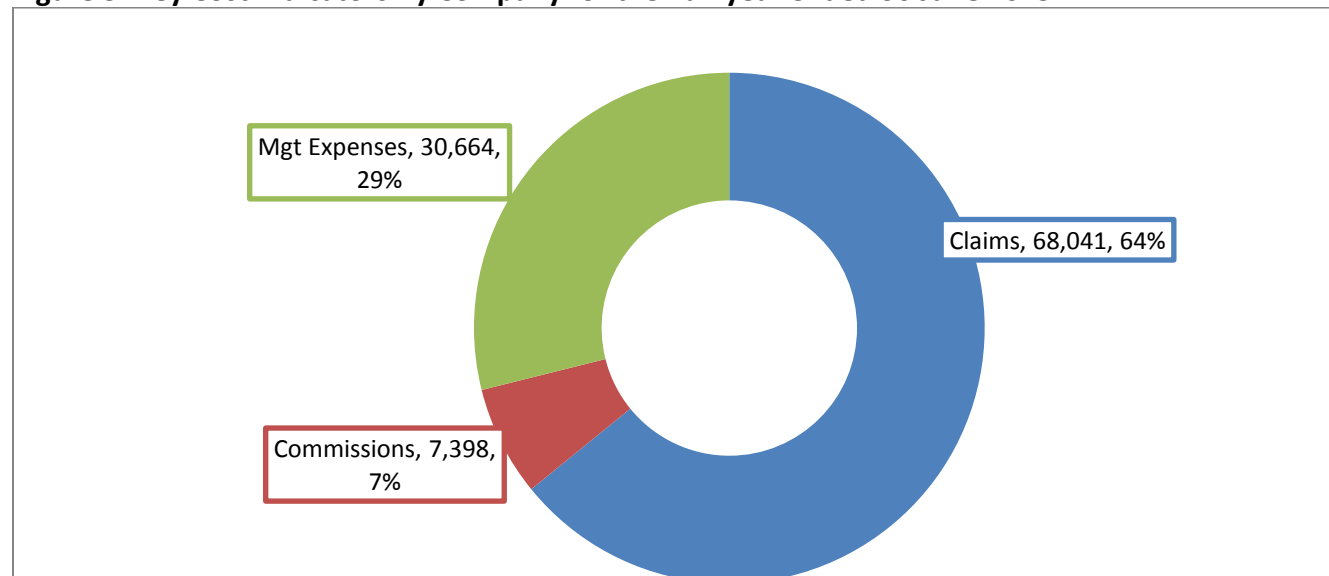
For the half year ended 30 June 2015, management costs accounted for 29% or \$31 million of total costs (June 2014: 34% or \$36 million), claims-64% or \$68 million (June 2014: 61% or \$64 million) whilst commission costs made up the balance of 7% or \$7million (June 2013: 4% or \$5 million). This resulted in the reduction of the combined ratio from 83% in 2014 to the reported 69% mainly due to management expenditure cuts. This is a critical survival tool and institutions should continue managing costs wisely given the current challenging economic environment (See Table 9 and figure 5, below).

Table 9: Key Income and Cost Indicators By Company for the half year ended 30 June 2015 (000)

Co. Name	NPW(\$000)		Claims(\$000)			Commissions(\$000)			Management Expenses(\$000)			Total Costs(\$000)			Combined Ratio		
	Jun-14	Jun-15	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	%
Altfin	1,343	890	341	462	35%	147	45	-69%	981	545	-44%	1,469	1,052	-28%	109%	118%	9%
CBZ Life	4,386	7,070	1,503	1,297	-14%	669	918	37%	1,245	1,641	32%	3,417	3,856	13%	78%	55%	-23%
Econet	-	1,533	-	161	-	-	0	-	-	74	-	-	235	-	-	15%	-
Evolution	402	512	51	48	-6%	29	71	145%	327	241	-26%	407	360	-12%	101%	70%	-31%
Fidelity	6,345	7,470	863	835	-3%	100	106	6%	2,502	2,711	8%	3,465	3,652	5%	55%	49%	-6%
FML	16,258	15,365	6,234	5,766	-8%	797	774	-3%	10,513	8,428	-20%	17,544	14,968	-15%	108%	97%	-11%
Heritage	689	764	115	144	25%	113	68	-40%	394	596	51%	622	808	30%	90%	106%	16%
Nyaradzo	14,597	36,382	3,860	9,387	143%	1,247	3,032	143%	8,861	5,457	-38%	13,968	17,876	28%	96%	49%	47%
O. Mutual	71,365	72,170	47,375	45,010	-5%	849	1,107	30%	7,351	7,590	3%	55,575	53,707	-3%	78%	74%	-4%
Zb Life	3,562	4,768	1,607	2,133	33%	170	701	312%	2,066	1,660	-20%	3,843	4,494	17%	108%	94%	-14%
Zimnat	7,360	7,679	2,538	2,798	10%	502	576	15%	2,105	1,721	-18%	5,145	5,095	-1%	70%	66%	-4%
Total	126,307	154,603	64,487	68,041	6%	4,623	7,398	60%	36,345	30,664	-16%	105,455	106,103	1%	83%	69%	-14%



Figure 5: Key Cost Indicators By Company for the half year ended 30 June 2015



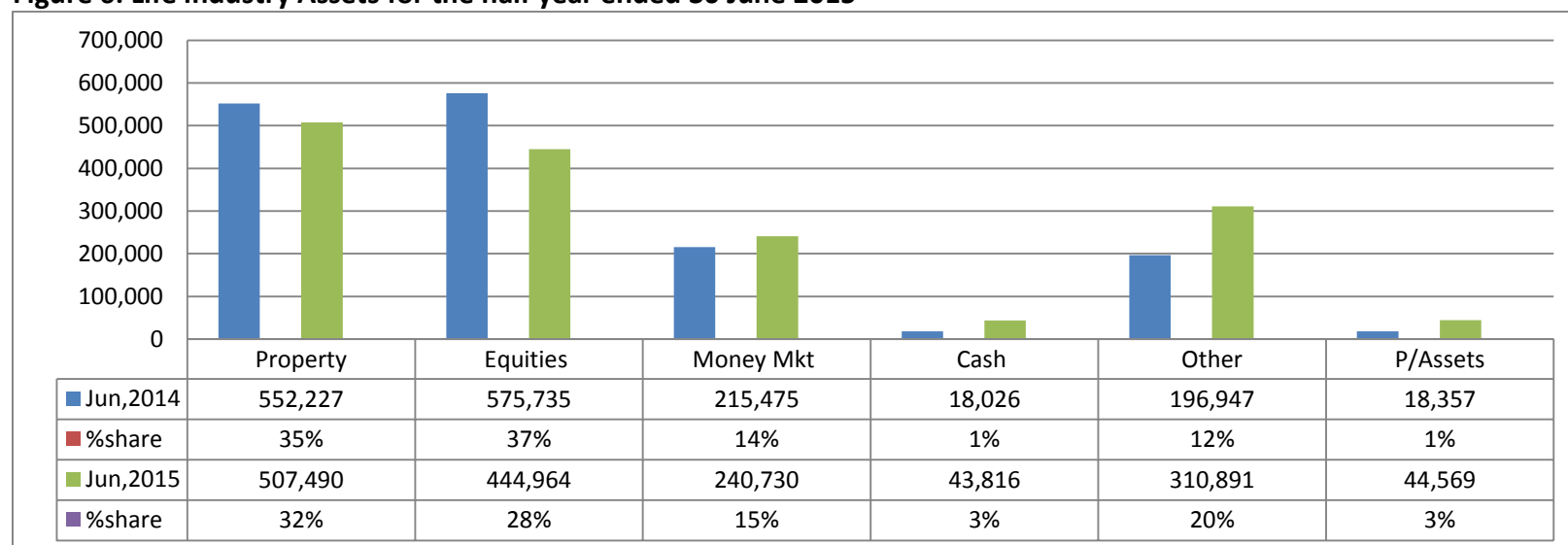
10. Asset Quality

As at 30 June 2015, the life assurance industry reportedly held its investments in properties, 32% or \$507 million (June2014: 35% or \$552million), equities-\$445million or 28% (June2014: 37% or \$576 million), money market-\$215million or 14% (June2014:14% or \$215million), cash assets-\$44million or 3% (June2014:1% or \$18million) , other assets , \$311 million or 20% (June 2014: 12% or \$197 million) whilst prescribed assets remained flat at 3%. IPEC takes this opportunity to remind the industry of the 31 December 2015 deadline by which time they must have attained the mandatory 7.5% holding in prescribed paper, failure of which the law will be invoked by way of statutory penalties. Furthermore these government paper appears to be performing better in terms of investment returns compared to other asset types (See Table 10 and Figure 6, below).

Table 10: Life industry Assets for the year for the half year ended 30 June 2015 (\$'000)

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%
Altfin	2,335	2,456	5%	2,945	2,290	-22%	2,124	2,265	7%	357	143	-60%	2,512	1,069	-57%	70	704	906%	10,343	8,927	-14%
CBZ Life	329	310	-6%	0	0	-	8,331	11,641	40%	473	2,843	501%	717	1,015	42%	0	144	-	9,850	15,953	62%
Evolution	31	9	-71%	0	1,258	-	226	189	-16%	4	121	2925%	3,021	1,434	-53%	30	100	233%	3,312	3,111	-6%
Econet	-	-	-	0	0	-	-	202	-	0	400	-	-	1,491	#DIV/0!	-	1,500	-	-	3,593	#DIV/0!
Fidelity	28,012	23,812	-15%	5,504	8,786	60%	6,510	7,881	21%	2,425	432	-82%	8,726	19,319	121%	0	14,907	-	51,177	75,137	47%
FML	14,362	13,322	-7%	24,022	15,077	-37%	3,625	10,613	193%	3,117	3,902	25%	139,364	141,727	2%	3,311	5,519	67%	187,801	190,160	1%
Heritage	716	787	10%	0	1,278	-	0	9	#DIV/0!	90	57	-37%	1,992	840	-58%	0	-	-	2,798	2,971	6%
Nyaradzo	22,513	31,080	38%	146	696	377%	7,240	14,666	103%	4,677	2,681	-43%	11,742	13,433	14%	183	3,967	2068%	46,501	66,523	43%
O.Mutual	463,156	415,483	-10%	509,443	395,847	-22%	170,112	171,108	1%	6,160	32,614	429%	23,719	92,764	291%	14,201	14,242	0%	1,186,791	1,122,058	-5%
Zb Life	3,433	3,381	-2%	20,168	6,978	-65%	2,303	3,172	38%	199	194	-3%	1,785	33,312	1766%	325	1,200	269%	28,213	48,237	71%
Zimnat	17,340	16,850	-3%	13,507	12,754	-6%	15,004	18,984	27%	524	429	-18%	3,369	4,487	33%	237	2,286	865%	49,981	55,790	12%
Total	552,227	507,490	-8%	575,735	444,964	-23%	215,475	240,730	12%	18,026	43,816	143%	196,947	310,891	58%	18,357	44,569	143%	1,576,767	1,592,460	1%

Figure 6: Life industry Assets for the half year ended 30 June 2015



11. Capitalization, Solvency and Liquidity Indicators

Except for Altfin Life Assurance Company, the industry was statutorily adequately capitalized as prescribed by Statutory Instrument 21 of 2013. The Commission has appointed an actuary to look into the sustainability and financial soundness of Alfin Life. Appropriate remedial measures will be advised in due course (See table 6 below).

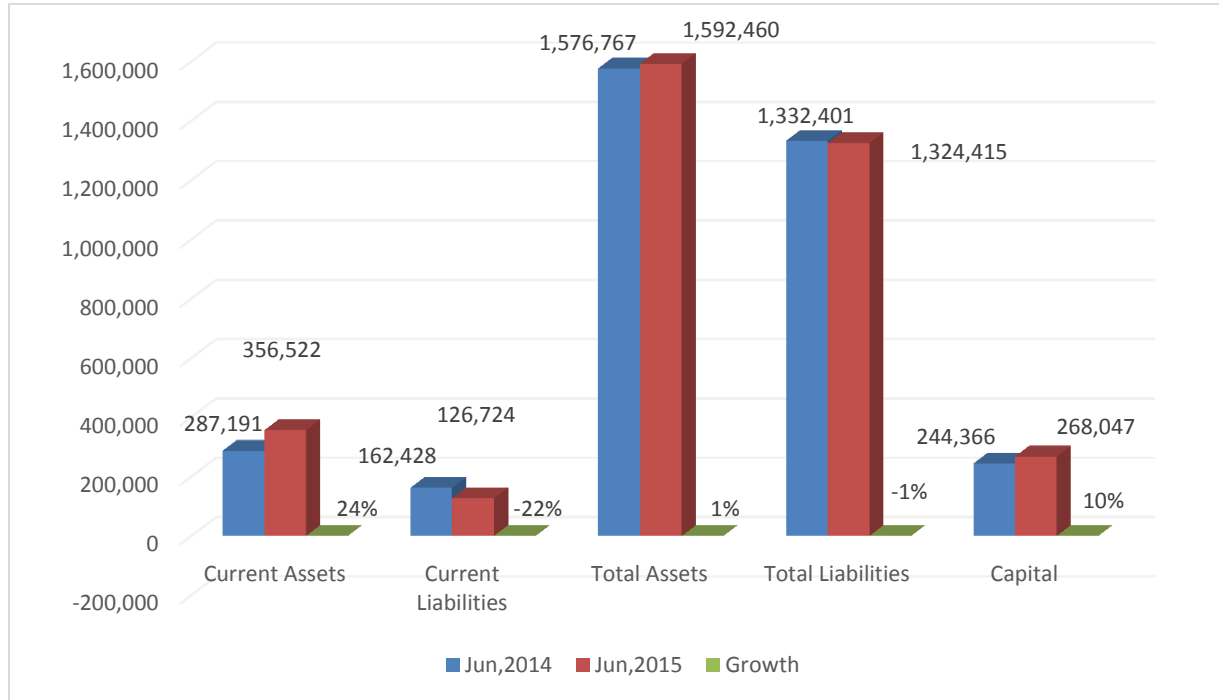
The industry reported capital to liability and liquid ratios of 20% and 281% respectively (June 2014:18% and 177%) (See Table 11 and Figure 7, below).

Table 11: Capitalization, Solvency and Liquidity Indicators (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Current Ratio (%)		
	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%
Altfin	4,840	3,991	-18%	9,448	8,373	-11%	10,343	8,927	10,087	8,935	-	256	-8	-	3%	0%	-100%	51%	48%	3%
CBZ Life	9,267	15,085	63%	2,138	3,603	69%	9,850	15,953	2,869	4,707	64%	6,981	11,246	61%	243%	239%	-2%	433%	419%	14%
Evolution	925	1,061	15%	407	629	55%	3,312	3,111	407	629	55%	2,905	2,482	-15%	714%	395%	-45%	227%	169%	-58%
Econet	-	1,547	-	-	221	-	-	3,593	-	221	-	-	3,372	-	-	1526%	0	-	700%	-
Fidelity	17,661	35,576	101%	11,065	11,133	1%	51,177	75,137	41,562	61,632	48%	9,615	13,505	40%	23%	22%	-4%	160%	320%	160%
FML	13,799	22,613	64%	29,431	20,779	-29%	187,801	190,160	118,386	121,488	3%	69,415	68,672	-1%	59%	57%	-3%	47%	109%	62%
Heritage	660	684	4%	137	313	128%	2,798	2,973	342	492	44%	2,456	2,481	1%	718%	504%	-30%	482%	219%	263%
Nyaradzo	23,715	34,498	45%	42,169	7,036	-83%	46,501	66,523	43,721	61,144	40%	2,780	5,379	93%	6%	9%	50%	56%	490%	434%
O Mutual	197,908	224,184	13%	63,473	70,361	11%	1,186,791	1,122,058	1,052,731	993,870	-6%	134,060	128,188	-4%	13%	13%	0%	312%	319%	7%
Zb Life	3,285	3,927	20%	1,458	1,744	20%	28,213	48,237	25,698	31,456	22%	2,515	16,781	567%	10%	53%	430%	225%	225%	-
Zimnat	15,131	13,356	-12%	2,702	2,532	-6%	49,981	55,790	36,598	39,841	9%	13,383	15,949	19%	37%	40%	8%	560%	527%	33%
Total	287,191	356,522	24%	162,428	126,724	-22%	1,576,767	1,592,462	1,332,401	1,324,415	-1%	244,366	268,047	10%	18%	20%	11%	177%	281%	104%



Figure 7: Capitalization, Solvency and Liquidity Indicators for the half year ended 30 June 2015 (\$'000)



Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

The insurance industry has two reinsurance companies.

2.0 Business Written

Table 1 below, shows that reinsurers wrote \$4.3 million in net premiums, an 11% growth from the corresponding period last year.

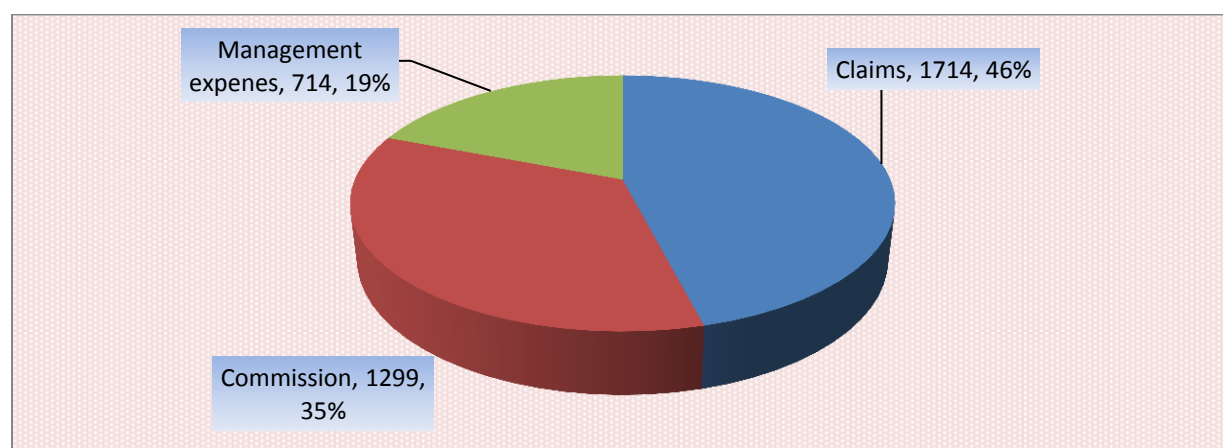
Table 1: Key Performance Indicators for the half year ended 30 June 2015 (000)

Item	Baobab Re			FM Re			Total		
	June-14	June-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%
Gross Premium written	2,799	2,974	6%	1,960	2,170	11%	4,759	5,144	8%
Net Premium Written	2,297	2,446	6%	1,653	1,937	17%	3,950	4,383	11%
Net Claims Incurred	1,215	502	-59%	736	1,212	65%	1,951	1,714	-12%
Net Commission Incurred	651	836	28%	386	463	20%	1,037	1,299	25%
Management Expenses	420	411	-2%	576	303	-47%	996	714	-28%
Total Costs	2286	1,749	-23%	1,698	1,978	16%	3,984	3,727	-6%
Underwriting Profit	11	697	6236%	(45)	(41)	-9%	-34	656	-2029%
Combined Ratio	100%	72%	(18)	103	102%	-1%	101%	85%	-16%

3.0 Earnings

For the current reporting period, total costs incurred were \$3.7million .Claims incurred were 46% or \$1.7million-(June 2014: 49% or \$1.7million), Commission 35% or \$1.3million-(June 2014:26% or \$1million) and management expenses making up the balance of 19% or \$0.71 million (June 2014:25% or \$0.996million)(See Figure 1 below).

Figure1: Cost Drivers for the Reassurers for the half year ended 30 June 2015 (000)



4.0 Capitalization and Solvency

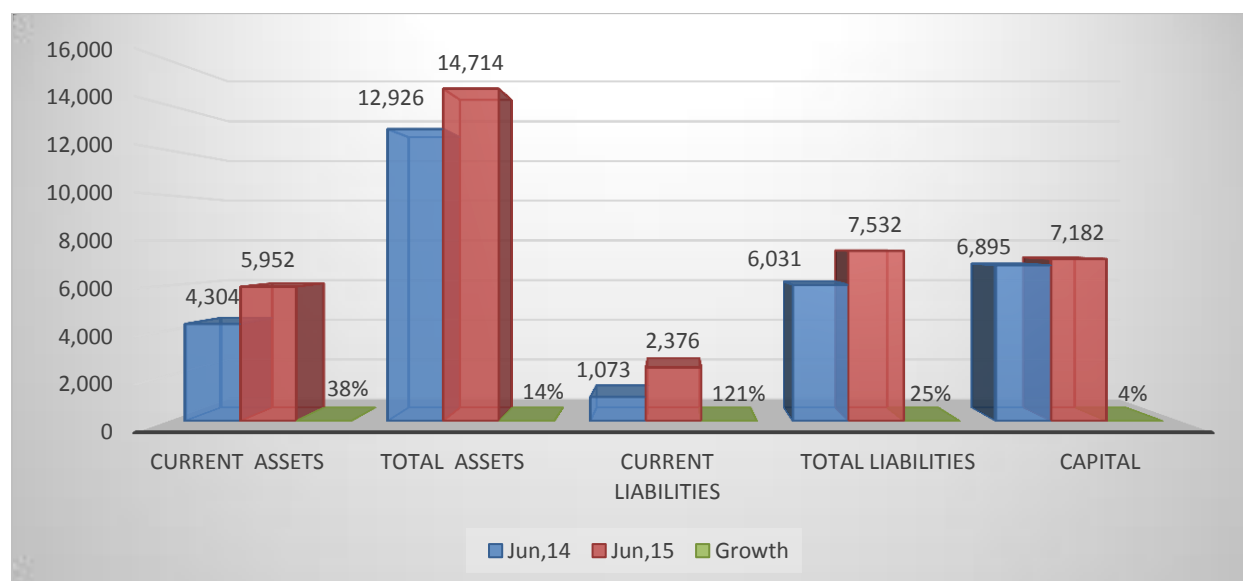
As highlighted in the 2015 Mid-Term Fiscal Police Statement, the minimum capital requirement

for reinsurers was raised to \$5 million. Capital injection is now urgently required in respect of FML Life and Health (See Table 2 and Figure 2, below). The players however reported solidly strong capital to liability and liquidity ratios of 95% and 1511% implying strong capacity to meet obligations on demand.

Table 2: Key Capitalization and Solvency Indicators for the half year ended 30 June 2015(000)

Item	Baobab Re			FMRe			Total		
	Jun-14	Jun-15	%	Jun-14	Jun-14	%	Jun-14	Jun-15	%
Current Assets	2,628	4,502	71%	1,676	1,450	-13%	4,304	5,952	38%
Total Assets	10,746	12,594	17%	2,180	2,120	-3%	12,926	14,714	14%
Current Liabilities	647	1,649	155%	426	727	71%	1,073	2,376	121%
Total Liabilities	5,024	6,490	29%	1,007	1,042	3%	6,031	7,532	25%
Capital	5,722	6,104	7%	1,173	1,078	-8%	6,895	7,182	4%
Prescribed Assets	0	223	-	0	0	-	0	223	-
Prescribed asset Ratio	0	2%	2%	0	0	-	0	-	-
Current Ratio	406%	273%	-133%	393%	199%	(194%)	401%	151%	(250%)
Capital to liability ratio	114%	94%	(20%)	116%	103%	(13%)	114%	95%	19%

Figure 2: Capitalization and Solvency Indicators for the half year ended 30 June 2015 (000)



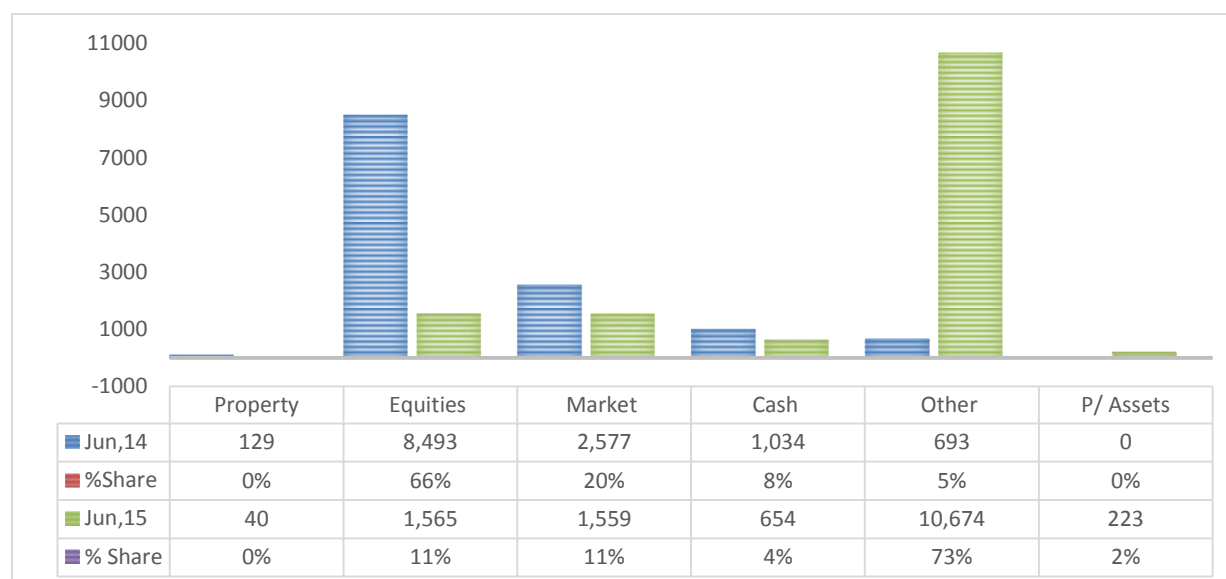
5.0 Asset Quality

As at 30th June 2015, reassurers' invested in properties-0% or \$40 000 (June 2014:1% or \$129 000), equities-\$1.6 million or 11% (June 2014:66% or \$8.5 million), money market-\$1.6 million or 11% (June 2014:20% or \$2.6 million), cash assets-\$0.7 million or 4% (June 2014:8% or \$1million) , other assets-\$10.7 million or 73% (June 2014:5% or \$693 000) whilst prescribed assets ratio was at 2%. As highlighted elsewhere the deadline for full compliance with the 7.5% ratio will be 31 December 2015 (See Table 3 and Figure 3, below).

Table3: Total Assets for Reassurers for the half year ended 30 June 2015

Asset Type	Baobab Re			FM Re			Total		
	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%
Fixed Property (000)	112	0	-	17	40	135%	129	40	-69%
Equities (000)	8,006	935	-1%	487	630	29%	8,493	1,565	-82%
Money Market (000)	1,231	748	-574%	1,346	811	-40%	2,577	1,559	-40%
Cash (000)	964	572	-50%	70	82	17%	1,034	654	-37%
Other Investments (000)	433	10,117	-91%	260	557	114%	693	10,674	1440%
Prescribed Assets	0	223	-	0	0	-	0	223	-
Total Assets (000)	10,746	12,595	2%	2,180	2,120	-3%	12,926	14,715	14%

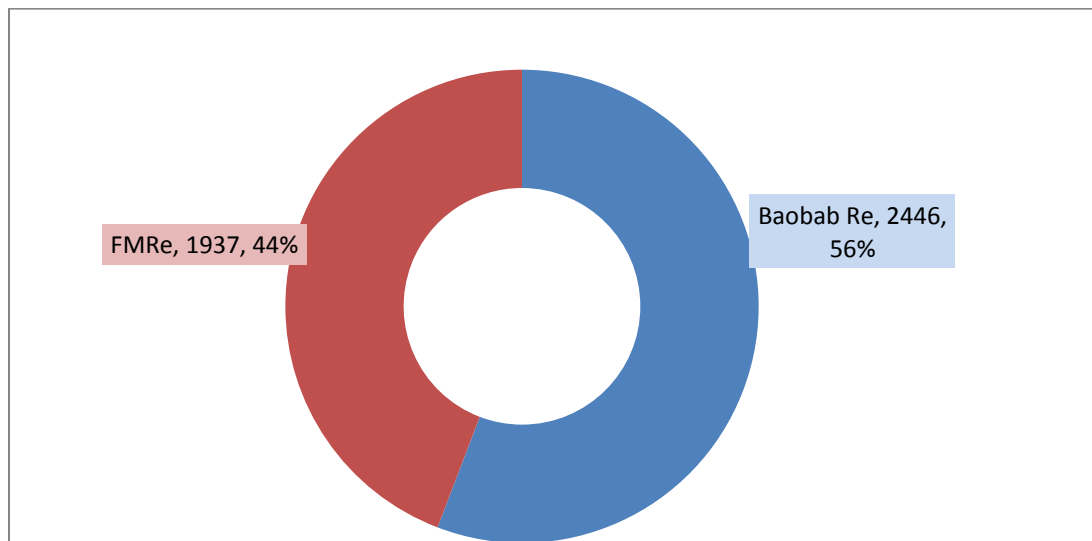
Figure 3: Total Assets for Reassurers for the half year ended 30 June 2015.



6.0 Market Share

For the half year ended 30 June 2014, Baobab Life and Health controlled 56% or \$2.4million worth of Net Premium Written (June 2014; 68% or \$2.3million) whilst the balance was underwritten by FM Re. We continue to encourage reinsurers to take the lead in complementing the Commission's efforts by promoting local technical expertise in micro-insurance underwriting using their experiences and partnerships internationally (See Figure 4 below).

Figure 4: Market share For Reassurers for the half year ended 30 June 2015(000)



7.0 Circulars and Statutory Instruments

The Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 4: Issued Acts, Circulars and Statutory Instruments for the year ended 30 June 2015

Details	Subject Matter	Issue date
Circular No.1 of 2015	Clarification on The Implementation of Circular 2 of 2013 , Circular 1 of 2014 And Circular 8 of 2014	20 January 2015

8.0 Prescribed Assets

Table 5: List Of Approved Prescribed Asset Paper

Details	Value	Approval Date
Budiriro Housing Project	Sixty Two Million and Eight Hundred Thousand Dollars	16 March 2015

9.0 Conclusion and Outlook

The life assurance industry showed encouraging signs of growth in business and expenditure cuts particularly operational costs. Players must be advised to comply with the minimum prescribed assets ratio and also cooperate with the Commission of Enquiry into low policyholder benefits and pension values to avoid commensurate legal penalties.